Annuities are insurance contracts. They allow you to deposit money into the contract, and take income immediately or leave the money invested. Your grandparents may have used annuities to buy themselves a guaranteed income stream in retirement (or their employer did this to provide a pension). At your age, you would most likely put money into an annuity and leave it there.

QUESTION

Will social security still be around when I retire?

By 2037 the taxes collected will pay only 72 percent of benefits owed. It's clear that you shouldn't rely on social security for more than half of your retirement income.

Annuities may be fixed or variable. Fixed annuities credit your account at a fixed rate agreed to by the insurance company. Variable annuities invest your money in the financial markets, very much like mutual funds. In addition to investment options, annuities can offer a dizzying array of bells and whistles called "riders." A rider may guarantee to refund your money after ten years if you lose it in the markets, or it may offer an enhanced death benefit to your beneficiaries if you die.

Your earnings grow tax deferred, but the money you put in is not tax deductible, so this is an investment best suited to someone who has already taken full advantage of all the tax-deductible plans available and still has money left over to invest. It's unlikely that the average person in her or his twenties or thirties would choose this investment vehicle, but you should be aware of it in case an insurance agent attempts to sell you one.

Belt and Suspenders

Annuities are useful in some situations, but they are prone to abuse. They are terribly difficult to understand for consumers and even professionals. All annuities have a cost, and you have to pay extra for any riders. In many